

Deep Assessment Report

**We are an institutional market
participant running a high-volume
collateral and secured financing
(repo-style)...**

A case-specific assessment report for tokenization viability and value creation.

September 13, 2026

A TVAC assessment by Astoval

CLARITY
BEFORE
COMMITMENT.

About this report

TVAC evaluates whether tokenizing a specific asset / structure creates net added value, using the five-factor model:

Deep Assessment Report	We are an institutional market participant running a high-volume collateral and secured financing (repo-style)...
Generated	September 13, 2026
Methodology	TVAC — Tokenization Value-Add Calculator
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$$\text{Added Value} = (\text{New Opportunities (NO)} + \text{Cost Savings (CS)} + \text{Risk Reduction (RR)}) - (\text{Tokenization Costs (TC)} + \text{New Risks (NR)})$$

This document is generated using the TVAC (Tokenization Value-Add Calculator) methodology and provides methodology-based informational analysis and decision-support only. It is not legal, regulatory, financial, investment, or tax advice.

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01 | Executive summary

TOKENIZATION VALUE VERDICT

Viable

ADDED VALUE

+9.00

plus 16.00 minus 7.00

Headline: The analysis supports a viable case for proceeding with tokenization under the proposed direction. The assessment lands at Viable with an estimated Net Added Value of 9.00 (Plus: 16.00 · Minus: 7.00).

Important interpretation note: This verdict concerns tokenization added value only. A Viable or Conditional Go verdict does not mean that the underlying asset is a good investment, that projected returns are realistic, that credit risk is acceptable, or that the instrument is suitable for any investor.

Case design stage: Structured Concept

This assessment is based on a partially defined design. The case is sufficiently clear for a meaningful case-specific evaluation, but several structural choices remain open.

1.1 What is different about this case

What is different about this case is that the main value sits in workflow efficiency, control, and risk reduction rather than in new distribution or speculative liquidity. That makes the case more focused than many tokenization concepts, but also more dependent on whether the design stays tightly permissioned and demonstrably removes legacy reconciliation steps instead of merely adding a token layer on top.

KEY TAKEAWAYS

- 01 Key findings:** The strongest support comes from new opportunities, cost savings, and risk reduction. Across New Opportunities, Cost Savings and Risk Reduction, the combined Plus score is 16.00. The TVAC methodology indicates a positive value hypothesis under the stated design, but the benefits still require validation.
- 02 Key constraints:** The main discipline point is to keep tokenization costs and new risks contained at 7.00 and avoid scope creep that would dilute the current value case.
- 03 Decision posture:** Proceed with disciplined implementation. Preserve the features that create value, but avoid unnecessary expansion of jurisdictional scope, liquidity promises, or technical complexity beyond what the case actually needs.
- 04 Impact:** This is primarily a controlled progression case. The upside appears plausible under the stated design, but it must be validated and captured without reintroducing avoidable TC/NR through overengineering or distribution overreach.

02 | Asset class & market context

This section provides case-derived structural context for a proposed tokenized collateral or post-trade workflow in United States. It uses the user-supplied design and the TVAC methodology; it does not introduce unverified claims about current adoption, market volumes, prevailing local structures or market maturity.

This is primarily a post-trade and collateral-workflow case rather than a liquidity-creation case. The value thesis depends on measurable improvements in settlement control, collateral mobility, reconciliation, exception handling and operational resilience relative to the existing workflow.

Verified external market data can deepen this section where activated profile claims are available. Until then, current market size, adoption and prevailing local practice remain outside the assessed evidence base.

Current market phase: Case-derived structural context only; external market maturity is not assessed from verified market sources for this case.

Typical structural strengths:

- The user describes the underlying instruments as already liquid, so the analysis can focus on workflow improvement rather than assuming tokenization creates asset liquidity.
- The stated permissioned participant perimeter can reduce unnecessary distribution complexity if eligibility and control responsibilities are implemented as described.
- The user describes an incremental design built around existing custody or agent workflows, which may reduce greenfield implementation burden.
- The case identifies operational outcomes that can be tested against a pre-implementation baseline.
- The stated design does not rely on unrestricted or automatic secondary liquidity, allowing the value case to be assessed without a speculative liquidity premium.

Key structural weaknesses & frictions:

- The value case remains dependent on integration, position-record synchronisation, cash-leg finality, recovery procedures and evidence that legacy reconciliation steps can actually be retired.
- Provider dependency and parallel-process risk can erode the expected benefit even where the token layer performs technically as intended.
- Any claimed settlement or automation benefit remains dependent on a workable cash leg, finality, exception handling and reconciliation across the selected infrastructure.

No live market data or unverified model memory was used for this market-context section. Where no verified market source is activated, current adoption, prevailing practice and market phase remain unassessed.

03 | Analysis result

ADDED VALUE

+9.00

PLUS

16.00

MINUS

7.00

Verdict rationale:

This case is assessed as Viable because the current user-defined structure produces Added Value +9 (plus 16 minus 7), which places the case in the Viable band under the TVAC methodology. In practical terms, the strongest supportive driver is New Opportunities (6/10), while the main friction is Tokenization Costs (6/10). The case adds a material new operating capability through controlled near-instant DvP for collateral movements in a high-volume US government securities workflow. Even as an incremental module, the tokenized lane still requires integration work, governance, assurance, legal scoping, and operating-model change on top of the existing collateral process. This rationale concerns tokenization added value only and does not validate legal, regulatory, tax, financial, investment, credit, yield, issuer, or implementation suitability.

Factor score profile

Factor	Score	Case-specific driver
New Opportunities	6/10	The case adds a material new operating capability through controlled near-instant DvP for collateral movements in a high-volume US government securities workflow.
Cost Savings	5/10	The submitted description states that duplicated reconciliation is decommissioned for the tokenized lane, which supports a structural cost-saving hypothesis instead of a temporary overlay model.
Risk Reduction	5/10	The proposed design uses regulated custody, whitelisted counterparties, and professional-only participation, which supports tighter operational control than an open access model.
Tokenization Costs	6/10	Even as an incremental module, the tokenized lane still requires integration work, governance, assurance, legal scoping, and operating-model change on top of the existing collateral process.
New Risks	1/10	Incremental new risk is unusually contained for a tokenization case because the workflow is permissioned, US-only, professional-only, and explicitly avoids retail distribution, public DeFi venues, and stablecoin dependence.

Added Value: 9.00 (plus 16.00 / minus 7.00)

Highest-priority evidence gaps:

- No verified case-specific regulatory claim is activated; approved baseline context supports structured scoping, while case-specific legal application remains unresolved.

- Obtain written legal and control analysis of the token layer, authoritative records, participant and intermediary roles, custody or collateral control, settlement finality and the operating perimeter.
- Document and validate the relationship between the tokenized workflow, authoritative custody or agent records, collateral-control rights, asset- and cash-leg finality, exception handling, rollback and recovery.

Regulatory coverage: United States · Unverified

This report uses approved baseline context and any activated versioned claims. No verified case-specific jurisdictional claim is activated unless explicitly shown below; final local application remains unresolved and requires qualified local verification.

Claim IDs, source versions and validation questions are documented in Appendix A.6.

3.1 Value pathways

This section isolates the mechanisms through which tokenization could create incremental value over a realistic conventional alternative. It is not an assessment of whether the underlying asset or financing need is attractive in its own right.

- TVAC assesses this as a closed institutional workflow in US government securities where the value case comes from operational optimization, not from creating new investor access or public-market liquidity.
- The strongest value pathway is controlled near-instant DvP for collateral movements, which the user describes as a way to reduce counterparty exposure during settlement windows.
- A second value pathway is cleaner intraday collateral mobility across substitution, margining, and return flows, with fewer manual breaks inside an already high-volume process.
- A third value pathway is the auditable, tamper-evident event trail between counterparties and custodians, which may reduce disputes and shorten reconciliation cycles if the described record and process design is validated.
- Because the token layer is described as incremental to existing tri-party / agent and custody workflows, adoption friction may be lower than in a greenfield market-infrastructure build.

3.2 Investor segmentation

Investor scope affects both upside and friction. A narrower professional or institutional audience can reduce distribution and compliance complexity, but it can also limit the access or liquidity benefit that tokenization is expected to create.

- Although the structured input uses investor labels, the more accurate case framing is eligible professional institutions participating in a closed collateral and secured-financing process.
- The deliberate exclusion of retail access materially reduces distribution complexity and helps keep the token rail aligned with an institutional operations use case.
- The single-jurisdiction US perimeter also reduces avoidable complexity relative to a multi-jurisdiction participant network.
- This narrow segmentation does limit expansionary upside, but that is consistent with the case objective because the value proposition is workflow efficiency and risk control, not distribution reach.

3.4 Regulatory path

This is regulatory scoping, not a legal opinion. The purpose is to identify the verified regulatory context and the design questions that materially affect the case, while making clear what still requires qualified jurisdiction-specific validation.

- TVAC has approved baseline regulatory context for United States, but it has not activated a verified case-specific local claim. The frameworks below are used for structured scoping only; applicability and current detailed conditions remain to be independently confirmed.
- At scoping level, a token representing debt, equity, fund interests or another investment exposure should be analysed under the U.S. federal securities-law framework. Tokenization does not itself determine the instrument's legal classification.
- Broker-dealer, alternative trading system, transfer-agent, custody and recordkeeping questions may arise according to the functions actually performed, the instrument classification and the proposed secondary-transfer model. A technology label does not decide those roles.
- A closed institutional collateral or post-trade workflow is not automatically a public-offering or secondary-market case. Scoping should focus on the legal character of the positions, participant and intermediary roles, authoritative records, custody and control, settlement finality, transfer functionality and the relationship with existing market infrastructure.

3.5 Custody & venue fit

Custody and venue design should be proportionate to the value thesis. If the case does not depend on continuous secondary trading, extra custody, venue or transfer complexity should be justified by a concrete operational, control or distribution benefit.

- Regulated custody is well aligned with the user-described objective of controlled collateral movement among professional institutions.
- An OTC, permissioned transfer model fits a closed workflow better than a public venue model because the goal is eligibility-controlled movement and settlement discipline, not broad external trading.
- The user describes clear operational governance and whitelisted counterparties, which supports custody and venue fit for a bounded institutional lane.
- What remains unresolved is which system of record ultimately controls entitlement and release in edge cases, especially where token events, custodian

3.3 Operational costs

This section distinguishes plausible process savings from the additional cost of introducing the token layer. A saving becomes a strong value driver only when it can be compared with the current process and is not offset by data, integration, provider or compliance work.

- Tokenization still introduces meaningful cost categories here: legal and compliance scoping, integration with existing workflows, governance, assurance, and production support.
- Those costs appear more bounded than in a greenfield token market build because custody, tri-party / agent processes, collateral rules, and reporting processes already exist.
- The user states that the tokenized lane will not retain permanent duplicate reconciliation. If that operating model is validated, it materially improves the cost case relative to parallel-run designs.
- No provider pricing or validated conventional baseline is supplied, so TVAC assesses cost savings as meaningful but not fully demonstrated.

records, and agent workflows must stay synchronized.

3.6 Settlement & Cash-Leg Readiness

Settlement is assessed against the case's actual value logic, not against an assumption that tokenization requires digital money or T+0. The key question is whether the cash leg can operate reliably for the intended investors and operating model without unnecessary complexity.

- Cash-leg dependency is assessed as Critical. In practical terms, the settlement and cash infrastructure is central to the claimed value proposition and must be treated as core infrastructure. The assessment is based on the stated instrument/asset type (wrapper) and the stated liquidity intent (ad-hoc / OTC), not on a generic assumption that every tokenized asset requires advanced digital money.
- Current payment / settlement indication: T+0 or atomic DvP target. Readiness is assessed as Selected / Unverified.
- High dependency: only user-stated benefits that depend on liquidity, DvP, collateral mobility, automated payments or 24/7 settlement should be constrained by weak cash-leg evidence.
- Design implication: if the core value proposition depends on atomic DvP, 24/7 liquidity, collateral mobility or digital cash settlement, the cash leg must be treated as core infrastructure rather than a late operational detail.

04 | Stakeholder added value

The stakeholder view shows where this case creates value and where its costs and risks actually sit. The scores below do not change the overall TVAC score; they expose whether the incentives are aligned across the parties who must make the structure work.

4.1 Stakeholder added value scores

Stakeholder	NO	CS	RR	TC	NR	Net
Initiating institution / workflow sponsor Expected value depends mainly on operational efficiency, control, reconciliation reduction and post-trade resilience, while integration and execution burden sits primarily with the initiating participant.	6.0	5.0	5.0	9.0	2.0	5.00
Eligible institutional counterparties Expected value depends on enforceable rights, controlled movement rules, custody reliability and settlement resilience rather than on broader access or speculative liquidity.	6.0	3.0	7.0	6.0	4.0	6.00
Infrastructure providers Expected value depends on supplying controlled settlement, custody, reconciliation and operational-governance capabilities that remove real post-trade friction rather than merely adding a token layer.	7.0	2.0	2.0	5.0	2.0	4.00

Here, overall project TC can remain moderate while Asset Owner TC is materially higher, because setup, integration, legal/compliance work, and delivery burden are concentrated on the initiating party rather than spread evenly across the structure. Likewise, stakeholder NR can exceed overall project NR where a specific party bears more custody, transfer, disclosure, or exit-path uncertainty than the structure as a whole.

Time-horizon interpretation: For this high-volume institutional workflow, the initiating institution's stakeholder score should be read primarily as an implementation-phase view. The setup burden is front-loaded. The intended economic case depends on cumulative run-state savings and risk reduction over a multi-year operating horizon once the stated legacy reconciliation and processing steps are actually retired. TVAC does not calculate ROI or a payback period; this interpretation is conditional on measurable evidence that the stated benefits are captured in practice.

4.2 Initiating institution / workflow sponsor

Expected value (plus)

- Fewer settlement fails, less duplicate reconciliation and stronger control evidence can create measurable value at institutional volume.
- A permissioned workflow can improve auditability and exception handling without relying on new investor distribution or speculative liquidity.
- For this type of high-volume workflow, the central value case is cumulative run-state savings and risk reduction rather than a one-off launch gain.

Costs & risks carried (minus)

- Integration, legal role mapping, cash-leg dependencies and operational change management remain concentrated on the initiating institution.
- Savings erode if the tokenized lane leaves legacy records, manual approvals or duplicate reconciliation in place.
- A neutral or low implementation-phase score is not, by itself, evidence of provider capture. It becomes a concern if legacy steps remain, measurable savings fail to materialise, or the initiating institution does not capture the documented run-state benefits.

What to agree / do next

- Lock the operating model: participant roles, custody or tri-party setup, settlement controls, reconciliation evidence and the legacy steps that are actually removed.
- Agree pilot KPIs and scale only after operational savings, recovery readiness and control evidence are independently demonstrated.
- Define a run-state evidence plan: baseline the current process, measure savings and risk outcomes across operating cycles, and test whether accumulated benefits justify front-loaded costs before wider scale-up.

4.3 Eligible institutional counterparties

Expected value (plus)

- Better auditability, controlled transfer logic and more reliable settlement can improve the operating experience for eligible counterparties.
- A robust DvP and cash-leg design can reduce settlement and intraday operational exposure.

Costs & risks carried (minus)

- Participants need clarity on fallback procedures, custody synchronisation, legal enforceability and the treatment of operational incidents.
- A new workflow adds change-management and provider-dependency risk even where public-market risk is absent.

What to agree / do next

- Demand a clear operational-control note covering movement rules, settlement finality, exception handling, recovery and evidence of position integrity.
- Clarify participant fees, custody or agent charges, service levels and the allocation of exception-handling costs.

4.4 Infrastructure providers

Expected value (plus)

- Providers can create durable value where their integration removes measurable reconciliation, exception and settlement friction.
- Controlled institutional participation supports higher standards of auditability, incident management and operational accountability.

Costs & risks carried (minus)

- Integration complexity, synchronisation failures and insufficient recovery procedures can create high error costs in an otherwise efficient workflow.
- Providers carry material responsibility for resilience, evidence, portability and service continuity.

What to agree / do next

- Define a RACI early: who owns participant eligibility, collateral movements, DvP sequencing, reconciliations, exception handling, recovery and reporting.
- Tie commercial terms to measurable operational outcomes and agree audit, service-level, portability and exit obligations.

4.5 Who bears the costs and risks?

For this qualified high-volume institutional workflow, the initiating institution may carry most front-loaded integration and governance costs. That does not by itself mean the economics favour service providers. The relevant test is whether the initiating institution captures measurable cumulative savings and risk reduction once the workflow reaches run-state and legacy steps are actually retired.

- A neutral or low near-term initiating-institution score should trigger an evidence and cost-allocation review, not an automatic rejection. It becomes a warning sign where the tokenized lane leaves legacy processes in parallel, the expected operational benefits are not demonstrated, or provider fees absorb the realised gains.
- Eligible counterparties should still receive clear evidence of operational controls, custody synchronisation, settlement finality and the allocation of exception-handling costs.
- Where operational benefits are evidenced and all stakeholders are positive, focus on disciplined scale-up, service continuity and ongoing measurement of realised value.

05 | Factor breakdown – detailed explanation

This chapter explains the causal basis of the five scores: which facts, assumptions and evidence gaps create upside, and which ones introduce additional friction. The three positive factors ask what tokenization adds relative to a realistic conventional alternative; the two negative factors ask what extra cost or risk the token layer introduces. A low positive score therefore means limited or weakly evidenced tokenization benefit, while a low negative score means limited additional friction. The scores are calibrated methodology judgments, not measured outcomes or legal conclusions.

Overall, this structure creates a clearly positive balance: strong upside from new opportunities and/or risk reduction outweighs tokenization costs and new risks, provided the project is executed with solid governance and implementation discipline. With an Added Value score of 9, the value case is clearly positive rather than marginal. Net Added Value is primarily driven by new opportunities at 6/10 on the upside, and constrained mainly by tokenization costs at 6/10 on the friction side.

New opportunities (NO)

- The case adds a material new operating capability through controlled near-instant DvP for collateral movements in a high-volume US government securities workflow.
- Intraday collateral substitution, margining, and return flows are described as cleaner and less manual in the tokenized lane, which is difficult to replicate fully with static recordkeeping alone.
- The auditable event trail between counterparties and custodians creates a practical workflow opportunity around dispute handling and reconciliation discipline.
- Upside stays bounded because the design is intentionally US-only, permissioned, and not aimed at open-ended secondary trading or broader public distribution.

Cost savings (CS)

- The submitted description states that duplicated reconciliation is decommissioned for the tokenized lane, which supports a structural cost-saving hypothesis instead of a temporary overlay model.
- High-volume collateral movements make reductions in exception handling, reconciliation time, and dispute effort more economically relevant than they would be in a low-frequency workflow.
- Because custody and tri-party / agent processes already exist, the token layer may reuse parts of the incumbent operating stack rather than requiring a full greenfield build.
- A validated conventional baseline and provider pricing were not supplied, so the savings case is meaningful but not fully demonstrated.

Risk reduction (RR)

- The proposed design uses regulated custody, whitelisted counterparties, and professional-only participation, which supports tighter operational control than an open access model.

- Controlled DvP settlement is directly linked by the user to lower counterparty exposure during settlement windows, which is a concrete risk-reduction pathway for this repo-style workflow.
- The auditable event trail and clearer allocation of operational responsibilities may reduce disputes and reconciliation ambiguity between counterparties and custodians.
- Risk reduction remains bounded by unresolved record-authority and final-settlement confirmations, so this is an assessed control improvement rather than a verified legal outcome.

Tokenization costs (TC)

- Even as an incremental module, the tokenized lane still requires integration work, governance, assurance, legal scoping, and operating-model change on top of the existing collateral process.
- Costs are moderated by the fact that the workflow is not a greenfield market build and stays within an existing US institutional perimeter.
- The need to coordinate the token layer with custody, tri-party / agent processes, margining logic, and reporting keeps implementation effort materially above a conventional process tweak.
- No binding provider scope or cost evidence is stated, so the cost burden is assessed as significant but bounded.

New risks (NR)

- Incremental new risk is unusually contained for a tokenization case because the workflow is permissioned, US-only, professional-only, and explicitly avoids retail distribution, public DeFi venues, and stablecoin dependence.
- The token module is described as sitting on top of existing institutional control structures rather than replacing the entire operating environment.
- The main new-risk categories are legal-role mapping, authoritative-record questions, and integration dependency, not broad market, liquidity, or open-network exposure.
- Those risks still require validation, but the described perimeter keeps them narrow relative to many tokenization designs.

Factor scores (0–10). Green bars indicate upside factors (New opportunities, Cost savings, Risk reduction). Red bars indicate friction/downside (Tokenization costs, New risks). The text next to each score gives a qualitative label so the numbers are less abstract.

New opportunities 6 / 10 (solid upside)



Cost savings 5 / 10 (moderate upside)



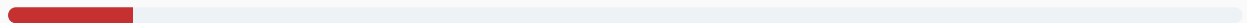
Risk reduction 5 / 10 (moderate upside)



Tokenization costs 6 / 10 (material friction)



New risks 1 / 10 (very limited friction)



Plus (NO + CS + RR): 16

Minus (TC + NR): 7

Added Value (Plus – Minus): 9

06 | Key risks & mitigation

This matrix prioritizes the report's identified risks by impact and likelihood. It is not a measured probability model; each position should be read together with the case-specific description and mitigation.

		IMPACT				
		1 Rare	2 Unlikely	3 Possible	4 Likely	5 Almost certain
5 High	5 High					
	4 Med-high		R2 R3	R1		
	3 Medium		R4 R5 R6			
	2 Med-low					
	1 Low					
		LIKELIHOOD				

Risk zones are indicative prioritization bands, not measured probabilities.

PRIORITY RISKS

R1 Misaligned incentives / vendor-capture risk

Impact 4 · Likelihood 3

Mitigation: Use stage-gating and milestones (legal/control validation + operational-readiness evidence) before committing; negotiate fee structures linked to measurable post-trade outcomes; ensure portability and exit clauses if the platform, custodian or agent arrangement changes.

R2 Record-authority mismatch

Impact 4 · Likelihood 2

Mitigation: Obtain written confirmation of which records govern entitlement, control, and exception handling across token, custodian, and agent workflows.

R3 DvP finality gap

Impact 4 · Likelihood 2

Mitigation: Validate settlement-finality logic, failure handling, and recovery procedures for the stated T+0 atomic model before production use.

R4 Parallel-process reintroduction

Impact 3 · Likelihood 2

Mitigation: Document and govern the decommissioning of duplicated reconciliation steps for the tokenized lane and monitor for process drift.

R5 Control perimeter drift

Impact 3 · Likelihood 2

Mitigation: Keep participant onboarding, whitelist governance, and eligibility rules tightly bounded to the intended professional US-only workflow.

R6 **Integration dependency on incumbent infrastructure**

Impact 3 · Likelihood 2

Mitigation: Define service boundaries, escalation ownership, and fallback procedures across the token module, custody stack, and existing collateral operations.

HOW TO READ THIS PAGE

Higher placement indicates greater impact; movement to the right indicates greater likelihood. Risks that share a cell can still have different causes and require different responses.

07 | Recommendations & next steps

7.1 Design priorities and decision gates

This is a controlled institutional workflow case, not a capital-raising or secondary-liquidity case. The priorities below focus on proving measurable post-trade value before operational scale-up.

7.1.1 Prove measurable operational savings and legacy-process retirement

Set a pre-pilot baseline for settlement fails, reconciliation time, manual interventions, exception tickets and dispute-resolution effort. Move beyond a pilot only where the tokenized lane removes duplicate legacy controls rather than adding another record to reconcile.

7.1.2 Prove settlement synchronisation, finality and recovery before scale

Test custody or tri-party synchronisation, DvP sequencing, cash-leg finality, exception handling, rollback, kill-switches and participant communications under normal and stressed workflows. A faster process is not a value gain if recovery and control evidence are weaker.

7.1.3 Align provider economics and operational governance with measurable outcomes

Phase provider commitments against agreed operational KPIs. Allocate responsibility explicitly across the initiating institution, custodian or tri-party agent, technology provider and eligible counterparties for eligibility, movement rules, reconciliations, incident response and audit evidence.

7.1.4 Execution implication for a controlled institutional workflow

Proceed through a measured pilot and scale only when the evidence shows durable reductions in friction and operational risk. Do not add public distribution, market-making, investor-liquidity or capital-raising features unless the case is independently redesigned and re-assessed.

7.2 Design what-if scenarios

These operational scenarios test whether the value case improves or deteriorates as workflow controls, decommissioning discipline and recovery readiness change. They are not capital-raising or investor-distribution scenarios.

- A measured pilot confirms that duplicate reconciliation and manual exception work can be retired for the tokenized lane: Cost Savings and Risk Reduction become more durable.
- The token layer is added while legacy records and approvals remain fully in parallel: expected savings erode and Tokenization Costs rise.
- Cash-leg finality, custody synchronisation or rollback procedures remain unproven: New Risks should be treated as higher and scale-up should pause.

7.3 Suggested next steps

- Agree a baseline KPI pack and pilot success criteria before build or migration.
- Document the operating rulebook: eligible participants, custody or tri-party roles, DvP sequencing, exception handling, reconciliation and recovery.
- Obtain independent legal, technical and operational validation of the token wrapper, control model and cash-leg dependencies.
- Use staged provider contracts with audit rights, service-level obligations, portability provisions and exit or rollback conditions.

Appendices

- Appendix A — Method & interpretation
- Appendix B — TVAC Provider Directory (illustrative)
- Appendix B — Glossary & abbreviations
- Appendix C — User-supplied case inputs
- Appendix D — Disclaimer

Appendix A — Method & interpretation

A.1 How to read this report

This report is a structured decision-support assessment of a controlled institutional workflow. It evaluates whether tokenization creates net added value through measurable post-trade efficiency, stronger controls and reduced operational risk — not through public distribution, capital raising or speculative secondary liquidity.

How to use the report (recommended sequence)

1. Start with the Tokenization Value Verdict and the five-factor score profile.
2. Read the workflow assumptions, value pathways and risk register to identify where value depends on execution evidence.
3. Use the recommendations and roadmap to test whether the tokenized lane can remove legacy reconciliation, strengthen settlement control and retain a credible recovery path before scale.

Recommendations in this report are analytical suggestions derived from the TVAC methodology and do not constitute legal, regulatory, financial, tax, investment or implementation advice.

Reading discipline

Treat stated operational benefits as hypotheses until they are demonstrated against baseline metrics. Prefer staged commitments: validate the highest-impact operational, control and governance uncertainties before expanding scope.

A.2 Decision integrity & interpretation

This report provides informational decision support only. It does not constitute legal, regulatory, tax, financial or investment advice, and it does not provide a compliance determination, operational audit, technical assurance or provider endorsement.

For a controlled institutional workflow, the Tokenization Value Verdict concerns whether the stated tokenization design appears likely to create added value relative to the existing workflow. It does not confirm legal enforceability, settlement finality, custody synchronisation, business-continuity readiness, regulatory treatment or implementation feasibility.

What can change the verdict (high impact)

- Whether duplicate reconciliation and manual exception handling are genuinely retired rather than retained in parallel
- Whether asset and cash legs remain synchronised, final and recoverable under normal and stressed conditions
- Whether custody, tri-party, agent and technology-provider responsibilities are explicit and operationally testable
- Whether the initiating institution captures measurable value after integration, governance and provider costs
- Whether the permissioned participant perimeter and legal operating model remain controlled as the workflow scales

What TVAC did not assess

- No definitive legal, regulatory, tax or investment conclusions
- No operational-readiness audit, cyber assessment or technical architecture validation
- No assurance of settlement finality, recovery performance, service resilience or provider delivery
- No validation of transaction volumes, cost savings or implementation budgets

A.3 Minimum evidence checklist

Before moving from a controlled pilot toward operational scale, decision-makers should be able to substantiate a minimum level of evidence across the areas below.

This checklist is not exhaustive and does not imply legal, regulatory or operational sufficiency. It reflects the evidence normally needed to test whether a workflow value case is sufficiently supported rather than merely theoretical.

Operational baseline and value capture

- Baseline data for settlement fails, reconciliation time, exception tickets, dispute-resolution effort and manual interventions
- A documented definition of which legacy controls and reconciliation steps are removed for the tokenized lane
- A quantified view of implementation, governance, provider and ongoing operating costs against expected savings

Settlement, custody and control evidence

- Defined DvP sequencing, cash-leg finality, custody or tri-party synchronisation and position-integrity controls

- Tested exception handling, rollback, recovery, kill-switch and incident communication procedures
- Clear evidence that permissioning, eligibility and movement controls operate as designed

Governance and operating model

- Explicit roles for the initiating institution, custodians, agents, counterparties and technology providers
- A documented RACI for reconciliation, incident handling, audit evidence, reporting and change control
- Service-level, portability, audit-right and exit arrangements proportionate to the workflow's criticality

Legal and perimeter discipline

- Clear legal mapping between the token layer, underlying positions and operating responsibilities
- Confirmed participant eligibility, transfer restrictions and the stated operating perimeter where relevant
- Independent legal, technical and operational validation before material scale-up

A.4 Sensitivity & decision levers

The main decision levers in a controlled institutional workflow are operational rather than distribution-led.

Top levers to test

- Legacy-process retirement: savings weaken materially if the tokenized lane leaves double-booking, manual approvals or parallel reconciliation in place
- Settlement synchronisation and recovery: unresolved cash-leg finality, custody synchronisation or rollback procedures should increase New Risks and pause scale-up
- Provider economics and governance: value erodes if fees, integration burden or operational responsibility are concentrated on the initiating institution without measurable benefit
- Scope discipline: adding retail access, public trading, new jurisdictions or liquidity promises turns the case into a different distribution and market-structure assessment
- Evidence quality: pilot KPIs, incident tests and independent assurance should carry more weight than theoretical efficiency claims

Interpretation rule

Improve the underlying workflow evidence and control model before adding new features. In this case type, the strongest value case usually comes from proving durable operational improvement within a tightly controlled perimeter.

A.5 How we compute Added Value

Added Value = (New Opportunities (NO) + Cost Savings (CS) + Risk Reduction (RR)) - (Tokenization Costs (TC) + New Risks (NR))

Plus (NO + CS + RR) = 16

Minus (TC + NR) = 7

Added Value (Plus - Minus) = 9

A.6 Evidence, provenance & regulatory source register

This register shows evidence status, activated verified regulatory claims, official sources and generic interface labels. It supports auditability but does not constitute legal advice or a conclusion that any cited rule applies to the final facts.

Supporting evidence: Preliminary · Any supporting evidence mentioned in the case description is treated as user-reported and has not been independently reviewed or verified by TVAC.

Regulatory coverage: United States · Unverified · Basic coverage · last reviewed 2026-07-15

Legal-advice boundary: TVAC provides regulatory scoping and decision support only. It does not determine how the law applies to the final facts, provide a legal opinion, confirm compliance, or replace qualified local counsel.

Score provenance

Factor scores are rubric-based methodology judgments grounded in supplied inputs and explicit evidence gaps. They are not measurements, legal conclusions or due-diligence findings.

Factor	Score	Provenance	Input references
New Opportunities	6/10	TVAC methodology assessment	case_description, instrument_type, investor_types, sale_jurisdictions, secondary_market_liquidity, transfer_restrictions
Cost Savings	5/10	TVAC methodology assessment	case_description, instrument_type, custody_model, settlement_model, transfer_restrictions
Risk Reduction	5/10	TVAC methodology assessment	case_description, custody_model, transfer_restrictions, settlement_model, investor_types
Tokenization Costs	6/10	TVAC methodology assessment	case_description, issuance_jurisdiction, sale_jurisdictions, instrument_type, custody_model, secondary_market_venue, settlement_model, offering_disclosure
New Risks	1/10	TVAC methodology assessment	case_description, issuance_jurisdiction, sale_jurisdictions, custody_model, secondary_market_venue, transfer_restrictions, settlement_model, offering_disclosure, tax_considerations

Activated verified regulatory claims

The table records claim scope and source IDs; the full case-facing explanation appears in Chapter 3.5.

No verified jurisdiction-specific claim was activated for the stated case facts.

Jurisdiction-specific validation questions

- **United States:** Which record is legally and operationally authoritative for positions and collateral-control rights, and how does the tokenized record relate to custody, tri-party or agent records?
- **United States:** How do the applicable repo or secured-financing documents, collateral-control arrangements and tokenized movement rules interact for each in-scope asset and counterparty?
- **United States:** Which participant has authority to approve movements, substitutions, freezes, corrections and exceptions, and how are those powers evidenced and audited?
- **United States:** How are asset-leg and cash-leg finality, DvP sequencing, reversals, cancellations, rollback and recovery defined for normal and stressed conditions?
- **United States:** Which recordkeeping, reconciliation and audit-evidence requirements apply, and which legacy records or controls can be retired without weakening the authoritative books and records?
- **United States:** How are custody, tri-party, agent, technology-provider and participant responsibilities allocated for service levels, incidents, portability, continuity and exception resolution?

Verified official sources

- SEC — Exempt Offerings overview · U.S. Securities and Exchange Commission · checked 2026-07-15
- SEC — Guide to Broker-Dealer Registration · U.S. Securities and Exchange Commission · checked 2026-07-15
- SEC — Alternative Trading Systems · U.S. Securities and Exchange Commission · checked 2026-07-15
- SEC — Transfer Agents · U.S. Securities and Exchange Commission · checked 2026-07-15

Generic interface labels

Generic TVAC interface label only. It is not treated as a jurisdiction-specific legal classification or legal requirement.

Field	Value
instrument_type	wrapper

Field	Value
custody_model	regulated custodian
secondary_market_liquidity	ad-hoc / OTC
secondary_market_venue	controlled OTC transfers
settlement_model	T+0 or atomic DvP target
offering_disclosure	exemption-based disclosure route
investor_types	professional

A.7 Operational roadmap (controlled institutional workflow)

This detailed implementation roadmap is retained as a reference, but moved out of the main analysis because much of it describes a generic project sequence. Use it after the case-specific decision points and recommendations in the main report have been resolved.

A.7.1 Operational roadmap (controlled institutional workflow)

This roadmap is structured planning support for a controlled institutional workflow. It is not an implementation instruction. Scale only after the pilot demonstrates durable operational value, enforceable controls and a credible recovery path. No duration or calendar cadence is assumed. Timing must be defined from the final scope, evidence, adviser requirements and binding provider commitments.

A.7.2 Phase 1 — Baseline, scope & pilot mandate

Objectives

- Establish a quantified baseline for settlement fails, reconciliation effort, exception tickets, manual interventions and dispute-resolution time.
- Limit the first pilot to named eligible counterparties and a clearly bounded set of in-scope collateral movements.

Key decisions

- Agree the pilot success thresholds that must be met before any production migration or scale-up.

Deliverables (checklist)

- Approved pilot charter defining scope, participant perimeter, governance, success metrics and stop conditions.
- Baseline measurement pack and data-collection method for the current workflow.

Primary stakeholders

- Initiating institution; eligible counterparties; custodian, tri-party agent or agent bank where relevant; technology and control providers.

Dependencies / gates

- Executive sponsorship, participant consent and an agreed pilot perimeter are in place before build begins.

Risk hotspots

- A pilot that is too broad or lacks measurable baselines can create activity without proving operational value.

A.7.3 Phase 2 — Rights, controls & operating rulebook

Objectives

- Map the legal, operational and control relationship between the tokenized workflow, underlying positions and official custody or agent records.

- Define participant eligibility, movement rules, approval rights, audit evidence and escalation responsibilities.

Key decisions

- Select the authoritative record, exception authority and manual fallback rules for every critical workflow state.

Deliverables (checklist)

- Operating rulebook covering eligibility, collateral movements, approvals, reconciliations, reporting and change control.
- RACI and legal/delimitação do escopo regulatório note for the participating institutions and service providers.

Primary stakeholders

- Initiating institution; eligible counterparties; custodian, tri-party agent or agent bank where relevant; technology and control providers.

Dependencies / gates

- Custodian, agent, counterparty and technology roles are contractually and operationally aligned.

Risk hotspots

- Unclear rights mapping or conflicting records can undermine control even when the token layer appears technically sound.

A.7.4 Phase 3 — Integration, synchronisation & recovery proof

Objectives

- Integrate the tokenized lane with custody, tri-party or agent workflows and test synchronisation under normal and stressed conditions.
- Prove DvP sequencing, position integrity, reconciliation, rollback and recovery before live use.

Key decisions

- Set finality, exception, rollback and business-continuity rules for failed or disputed movements.

Deliverables (checklist)

- End-to-end test evidence for normal flows, exceptions, reversals, recovery and audit trails.
- Approved incident, fallback and reconciliation runbooks with named owners.

Primary stakeholders

- Initiating institution; eligible counterparties; custodian, tri-party agent or agent bank where relevant; technology and control providers.

Dependencies / gates

- No production pilot until integration testing demonstrates that official records and tokenized workflow states remain reconciled.

Risk hotspots

- Unproven synchronisation or recovery can turn a faster process into a larger operational-control failure.

A.7.5 Phase 4 — Controlled pilot & measured migration

Objectives

- Run a limited live pilot and retire selected duplicate legacy steps only where evidence supports safe removal.
- Measure realised savings, control outcomes and exception performance against the agreed baseline.

Key decisions

- Decide which workflow steps may migrate, remain as temporary controls or revert to manual fallback.

Deliverables (checklist)

- Pilot results pack covering KPIs, incidents, controls, participant feedback and realised cost or time effects.
- Approved migration decision with explicit limits, owners and remediation actions.

Primary stakeholders

- Initiating institution; eligible counterparties; custodian, tri-party agent or agent bank where relevant; technology and control providers.

Dependencies / gates

- Scale only when the pilot demonstrates measurable benefit without weakening recovery, custody or control evidence.

Risk hotspots

- Savings will not materialise if duplicate records, manual approvals or parallel reconciliations remain permanent.

A.7.6 Phase 5 — Governed scale-up & continuous assurance

Objectives

- Scale only within the permissioned operating perimeter while maintaining continuous control, resilience and evidence quality.
- Monitor whether provider performance, cost allocation and legacy-process retirement continue to support the value case.

Key decisions

- Set governance cadence, assurance thresholds, portability requirements and triggers for pausing or reversing scale-up.

Deliverables (checklist)

- Run-state KPI and assurance dashboard covering settlement quality, exceptions, recovery performance, costs and controls.
- Provider portability, exit and change-management plan tested against realistic service-disruption scenarios.

Primary stakeholders

- Initiating institution; eligible counterparties; custodian, tri-party agent or agent bank where relevant; technology and control providers.

Dependencies / gates

- Continued scale depends on stable control performance, transparent value capture and an enforceable participant perimeter.

Risk hotspots

- Adding public trading, retail access, new jurisdictions or liquidity promises creates a different case that requires separate assessment.

Appendix B — Glossary & abbreviations

A practical reference for the most common terms and abbreviations used in this report. Spelling note: tokenization uses “z”.

Term	Meaning
Accredited investor	An investor category used primarily in the United States for persons or entities meeting specific income, net worth, or institutional eligibility thresholds for participation in certain exempt offerings.
Added Value (AV)	TVAC’s net assessment of whether tokenization appears to improve a case overall once both upside and friction are weighed together. Formula: $AV = (NO + CS + RR) - (TC + NR)$.
AML	Anti-Money Laundering controls intended to detect, prevent, and report suspicious financial activity.
Assessment input	TVAC’s qualitative indication of whether the required input sections were completed sufficiently for the assessment to run. It measures input-form completion only and does not imply factual certainty, independent validation or supporting evidence.
Asset owner / Issuer	The originating party, sponsor, manager, or issuing structure responsible for launching or sponsoring the tokenized case being assessed.
ATS	Alternative Trading System. A regulated trading venue category used in some jurisdictions, particularly the United States.
Bankruptcy-remote SPV	A special-purpose vehicle structured to reduce the risk that the insolvency of a sponsor or related party directly affects the ring-fenced assets or obligations of the issuance vehicle.
Cap table	Capitalization table. A record of ownership interests, investor positions, or security holders in a structure or company.
Cash leg	The cash side of a transaction or settlement flow, as distinct from the asset or token side.
Conditional Go	A Tokenization Value Verdict indicating that tokenization may add net value, but remains materially dependent on design discipline, implementation choices, and resolution of key gating conditions.
Counterparty risk	The risk that one party to a transaction fails to perform its contractual obligations.
CSD	Central Securities Depository.
Custody	The safeguarding, control, and recordkeeping of assets or positions on behalf of investors or market participants.
DeFi	Decentralized Finance. A blockchain-based ecosystem of protocols and applications designed to enable financial activity without relying entirely on traditional centralized intermediaries.
DEX	Decentralized Exchange.
Distribution scope	The intended investor reach of an offering or tokenized structure, including geography, investor type, and access conditions.
DvP	Delivery versus Payment. A settlement model in which transfer of the asset and transfer of payment are linked so that one does not occur without the other.
Economic rights	The financial entitlements attached to a token or instrument, such as income participation, coupon, principal repayment, or profit-sharing.

Term	Meaning
Eligibility controls	Rules and mechanisms that determine who may acquire, hold, or transfer a token or instrument.
ESG	Environmental, Social, and Governance factors.
Execution risk	The risk that a concept that appears viable in theory fails in practice because implementation, coordination, economics, or governance proves weaker than assumed.
Factor breakdown	The report section explaining how each of TVAC's five factors contributes to the overall assessment.
Friction factors	In TVAC, the two downside factors: Tokenization Costs (TC) and New Risks (NR).
Governance	The decision-making, control, accountability, and escalation framework surrounding a structure, platform, issuer, or operating model.
Institutional investor	A professional market participant such as a fund, bank, insurer, treasury function, pension investor, or other organization investing at scale.
Investor segmentation	The way the target investor base is defined and limited by investor type, sophistication, jurisdiction, or eligibility criteria.
KYC	Know Your Customer procedures used to verify customer identity and onboarding eligibility.
Legal wrapper	The legal structure through which tokenized rights or exposures are issued, held, or governed.
Liquidity window	A predefined period or mechanism allowing limited secondary trading, transfer, redemption, or exit opportunities.
MTF	Multilateral Trading Facility under EU regulatory frameworks.
Net Added Value	See Added Value (AV).
New Opportunities (NO)	Case-specific upside that tokenization creates or materially strengthens, such as new investor reach, new operational utility, collateral use, programmability, or improved strategic flexibility.
New Risks (NR)	Additional risks introduced by tokenization, including legal, regulatory, operational, technological, governance, distribution, or market-structure risks.
NO / CS / RR / TC / NR	Shorthand for TVAC's five factors: New Opportunities, Cost Savings, Risk Reduction, Tokenization Costs, and New Risks.
Non-viable	A Tokenization Value Verdict indicating that the current structure does not support a positive tokenization value case under the TVAC methodology and should not proceed without substantial redesign.
Off-chain settlement	A settlement process that occurs through conventional systems, institutions, or cash rails rather than being fully completed on a blockchain.
On-chain settlement	A settlement process in which the relevant transfer logic is executed on a blockchain or distributed ledger environment.
Operational costs	The ongoing cost burden of running a structure, including servicing, reporting, compliance, governance, custody, registry, and technology overhead.

Term	Meaning
Operational utility	Practical workflow benefit created by tokenization, such as faster settlement, better collateral mobility, reduced reconciliation, or more efficient transfer control.
Parallel processes	A situation in which tokenized and legacy workflows both remain active, limiting the real efficiency gains from tokenization.
Permissioned	A system design in which access, participation, or transfers are restricted to approved participants under defined rules.
Professional investor	An investor category used in many jurisdictions for parties assumed to have greater sophistication, capacity, or experience than retail investors.
Prospectus	A formal disclosure document that may be required for certain public offerings or investor solicitations under applicable law.
Provider Directory	A reference section listing indicative categories of service providers relevant to tokenization implementation. It is illustrative only and not a recommendation list.
Registry	The official or operational record of holdings, ownership, or investor positions.
Regulatory coverage	The jurisdiction-specific scope supported by activated, versioned regulatory claims in the TVAC profile. It does not determine how the law applies to the final facts.
Regulatory perimeter	The boundary of laws, rules, approvals, and supervisory expectations that may apply to a structure or activity.
Repo	Repurchase agreement. A financing transaction in which securities are sold and later repurchased, typically functioning as a collateralized short-term funding arrangement.
Retail investor	A non-professional investor who generally receives higher levels of regulatory protection than professional or institutional investors.
Rights mapping	The process of making clear what legal, economic, governance, and transfer rights a token actually represents and how those rights are enforceable.
Risk heatmap	A report visualization that summarizes the relative severity and concentration of key risk areas identified in the case.
Risk Reduction (RR)	The extent to which tokenization reduces existing risk in the conventional setup, for example through better controls, improved transparency, clearer auditability, or lower reconciliation burden.
Self-custody	A model in which the end holder directly controls the relevant wallet, keys, or token position without relying on a traditional third-party custodian.
Settlement model	The way asset transfer, cash transfer, record updates, and finality are operationally achieved.
SPV	Special Purpose Vehicle. A ring-fenced legal entity often used for issuance, structuring, asset isolation, or liability segregation.
Stakeholder added value	A TVAC perspective layer showing how value and friction may be distributed differently across key participants such as the issuer, investors, and infrastructure providers.
Stop criteria	Standard decision-integrity triggers indicating that a case should stop, re-scope, or be materially redesigned unless the issue is resolved.
Structured product	A financial instrument combining defined economic exposure with a formal legal wrapper and specified payout logic.

Term	Meaning
Supporting evidence	TVAC's qualitative indicator of how far critical legal, commercial, provider and operational assumptions are supported by evidence described by the user. User-reported evidence is not independently verified by TVAC, and supporting evidence is not required for an initial assessment.
TA	Transfer Agent.
Tokenization Costs (TC)	The additional costs introduced by tokenization, including structuring, legal work, compliance, integration, platform costs, governance overhead, servicing changes, and operating complexity.
Transfer controls	Rules, permissions, and technical or legal mechanisms governing who may transfer, receive, or hold the token.
Transfer restrictions	Specific limitations placed on secondary transfers, often for regulatory, contractual, or investor-eligibility reasons.
TVAC	Tokenization Value-Add Calculator. A structured decision-support methodology for assessing whether tokenization appears to create net added value in a specific case.
Value pathways	The concrete ways in which tokenization might create value in the case, such as improved distribution, lower friction, stronger control, faster settlement, or better collateral use.
Vendor-capture risk	The risk that a structure becomes economically or operationally overly dependent on one platform, provider, or implementation path in a way that shifts value away from the initiating party.
Venue fit	The degree to which the chosen issuance, transfer, trading, or liquidity venue matches the asset, investor scope, regulatory posture, and operating model of the case.
Verified regulatory claim	A versioned statement derived from an identified source and approved for conditional regulatory scoping. It is not a legal opinion or case-specific compliance conclusion.
Viable	A Tokenization Value Verdict indicating that the TVAC methodology identifies a positive tokenization value case under the described structure, subject to validation and disciplined execution. It is not an investment, credit, yield, valuation, legal, tax, or suitability assessment.
Whitelist / Whitelisting	A mechanism for restricting participation or transferability to pre-approved investors, wallets, counterparties, or participants.

Appendix C — User-supplied case inputs

C.1 Full verbatim case description

Full original free-text case input provided by the user.

We are an institutional market participant running a high-volume collateral and secured financing (repo-style) workflow in US government securities. The underlying instruments are already liquid; the value-add of tokenization is not “creating liquidity”, but reducing post-trade friction, settlement fails, and operational risk in collateral movements.

We want to run a permissioned tokenized collateral rail where eligible participants (professional institutions only) can move tokenized collateral positions under strict eligibility controls, with regulated custody and clear operational governance. The design is single-jurisdiction (US) and deliberately avoids retail access, public DeFi venues, and open-ended secondary trading.

Crucially, this is not a greenfield build: the custody and tri-party / agent workflows already exist, and the token layer is implemented as an incremental module on top of existing collateral eligibility rules, margining processes, and reporting. Participants are whitelisted, controls are institutional-grade, and operational responsibilities are clearly assigned. The Asset Owner / initiating participant is the primary beneficiary of the operational savings and risk reduction (not external vendors).

The tokenization layer is used to implement (1) near-instant, controlled delivery-versus-payment (DvP) settlement to reduce counterparty exposure during settlement windows, (2) cleaner intraday collateral mobility (substitution, margining, and return flows) with fewer manual breaks, and (3) an auditable, tamper-evident event trail that reduces disputes and accelerates reconciliation between counterparties and custodians. We explicitly decommission duplicated reconciliation steps for the tokenized lane (no permanent parallel “double-booking”), so savings are structural.

Expected benefits are measurable at scale: fewer fails, fewer exception tickets, faster dispute resolution, tighter control over collateral release, and reduced reconciliation time per movement. Costs and risks remain real (legal/compliance scoping, integration, governance), but the scope is bounded: permissioned participants, regulated custody, conservative US-only perimeter, and no reliance on stablecoins or permissionless liquidity.

C.2 Structured input record

This record reproduces the structured inputs supplied for this assessment. For dropdowns and checkboxes, it also shows the alternatives that were available but not selected.

Field	User response	Other available options not selected
Issuance jurisdiction	United States	Not applicable
Sale jurisdictions (comma-separated)	United States	Not applicable
Instrument type	Digital wrapper (CSD/TA/registrar)	Sole-record / native tokenized security
Custody model	Regulated custodian	Transfer agent / CSD; Self-custody (wallets)
Secondary-market liquidity	Ad-hoc OTC	None; Quarterly windows; Continuous
Secondary-market venue	OTC	ATS / MTF; DEX (permissioned); CSD / TA-registered
Payment / cash-leg model	Advanced: T+0 / atomic DvP	Not decided yet; Not material at this stage; Traditional bank / fiat payments; Custodian / bank / TA / CSD settlement; Stablecoin / tokenized cash; Deposit token / tokenized deposit / institutional DvP rail; T+1/T+2 securities settlement; Advanced: off-chain booking
Offering disclosure	Exempt / limited-offering route (jurisdiction-dependent)	KID (PRIIPs); Prospectus
Transfer restrictions	Whitelist + professional-only + permissioned counterparties + controlled DvP settlement	Not applicable
Tax considerations (optional)	Standard tax posture for government securities; operational/tax reporting handled under existing institutional processes.	Not applicable

Field	User response	Other available options not selected
Investor types	Professional	Qualified / accredited (jurisdiction-dependent); Retail

An option shown as not selected was not necessarily actively considered or rejected by the user; it was simply not selected for this assessment.

Appendix D — Disclaimer

Disclaimer

This report is provided for informational and decision-support purposes only. It does not constitute legal, regulatory, tax, accounting, investment, valuation, or financial advice, and it should not be relied upon as a substitute for professional advice tailored to the specific facts and circumstances of the case.

TVAC is a structured assessment tool designed to evaluate whether and when tokenization may create added value relative to conventional alternatives. Its outputs reflect a methodology-based analytical framework operating under uncertainty. They are not guarantees of commercial success, feasibility, investor demand, regulatory approval, liquidity, execution quality, budget outcome, or risk reduction.

Any scores, verdicts, scenarios, stakeholder assessments, suggested actions, implementation observations, and roadmap elements in this report are indicative only and depend on the quality, completeness, and interpretation of the input data, as well as on assumptions about structure, jurisdiction, service-provider readiness, market conditions, execution capability, and timing.

Tokenization outcomes can differ materially from this assessment if key conditions change, including legal structuring, investor scope, jurisdiction count, custody model, distribution pathway, settlement design, governance arrangements, servicing readiness, technology integration, cost allocation, evidence quality, or liquidity support.

A TVAC verdict is a tokenization added-value verdict only. It must not be presented or used as investment approval, credit rating, yield validation, issuer endorsement, regulatory approval, due diligence report, or investor recommendation. TVAC does not validate projected returns, coupon payments, credit quality, valuations, legal enforceability, tax treatment, or investor suitability.

This report does not replace formal legal analysis, regulatory review, tax analysis, technical architecture review, cybersecurity review, accounting assessment, operational diligence, commercial validation, or board-level decision processes. Independent advice should always be obtained before any structuring, issuance, distribution, investment, operational, or implementation decision is made.

Neither TVAC nor Astoval assumes responsibility for actions taken on the basis of this report alone. Users remain solely responsible for all commercial, legal, regulatory, operational, and strategic decisions related to any proposed tokenization initiative.



Tokenization Value-Add Calculator

A PRODUCT BY ASTOVAL

Astoval provides independent, AI-enhanced early-stage decision support for asset tokenization, helping organizations assess whether tokenization creates genuine added value before significant resources are committed to legal structuring, platform selection or implementation.

PRIVACY AND DATA

Case inputs and generated reports are processed for delivery and are not intentionally retained as a persistent customer-case record in the standard self-service flow. OpenAI API data is not used for model training unless the API customer opts in; separate abuse-monitoring retention may apply for up to 30 days.

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CLARITY
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